Convertibility in India

India's foreign exchange earning capacity was always poor and hence it had all possible provisions to check the foreign exchange outflow, be it for current purposes or capital purposes (remember the draconian FERA!). But the process of economic reforms has changed the situation to unidentifiable levels—

Current Account

Current account is today fully convertible (operationalised on August 19, 1994). It means that the full amount of the foreign exchange required by someone for current purposes will be made available to him at official exchange rate and there could be an unprohibited outflow of foreign exchange (earlier it was partially convertible). India was obliged to do so as per Article VIII of the IMF which prohibits any exchange restrictions on current international transactions (keep in mind that India was under pre-conditions of the IMF since 1991!).

Capital Account

After the recomendations of the S.S. Tarapore Committee (1997) on the Capital Account Convertibility, India has been moving in the direction of allowing full convertibility in this account but with required precautions. India is still a country of partial convertibility (40:60) in the capital account but inside this overall policy, enough reforms have been made and to certain levels of foreign exchange requirements, it is an economy allowing full capital account convertibility—

i. Indian Corporates are allowed full convertibility in the automatic route upto $ 500 million overseas ventures (investment by Ltd. companies in foreign countries allowed).
ii. Indian Corporates are allowed to prepay their external commercial borrowings (ECBs) via automatic route if the loan is above $ 500 million (now done $ 20,000)
iii. Individuals are allowed to invest in foreign assets, shares, etc. upto the level of $ 2,00,000 per annum.